

Lucky Cement Ltd (PSX:LUKC)

Investing.com

Pro Research

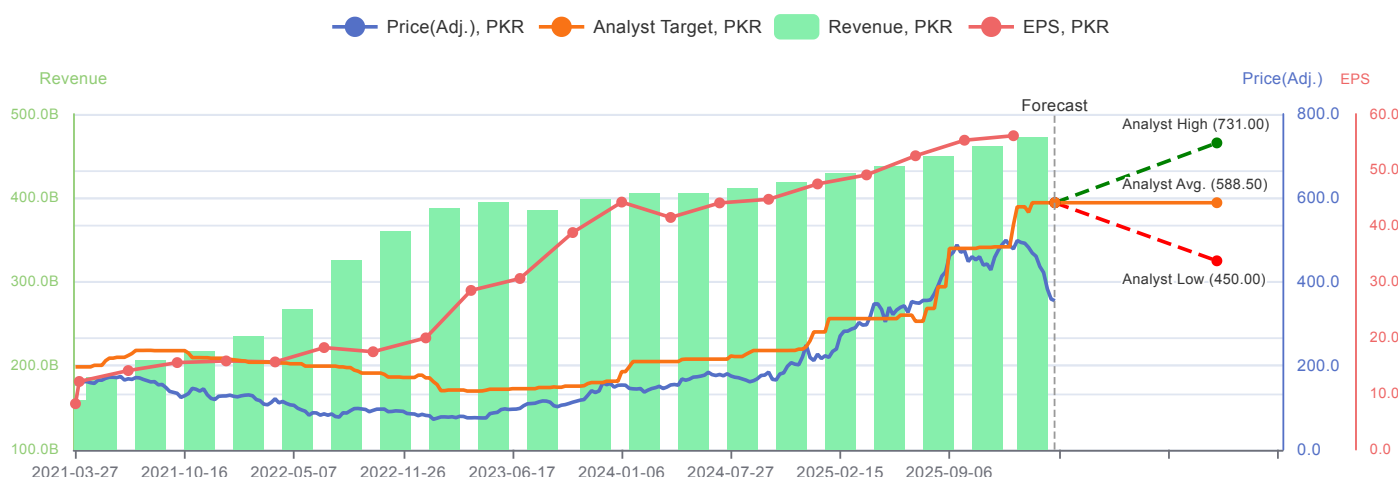
Key Indicators:

Date: Mar 24, 2026

Stock Price **PKR354.9**

52-Week Range	PKR272.1 - PKR529.5	EPS Revisions (90d)	↑ - ↓ -	Revenue	PKR472.2B
Market Cap	PKR519.9B	PEG Ratio	0.35	Revenue Forecast	PKR548.4B
P/E Ratio	6.32	FCF Yield	10.0	1-Year Change	19.6%
P/E (Fwd.)	5.33	EV / EBITDA	4.37	Div Yield	1.13%
EPS Actual	22.6	Book / Share	262.8	Div. Growth Streak	1 year
EPS Estimate	66.6	Beta (5Y)	0.34	Next Earnings	2026-04-24

5-Year Chart



Executive Summary

Warren AI

Lucky Cement Ltd (PSX:LUKC) is one of Pakistan's largest cement manufacturers with a significant market presence and diversified business interests spanning automobiles, chemicals, agricultural sciences, mobile phone assembly, energy, and mining operations across Pakistan, Iraq, and the Democratic Republic of Congo.

Market Position: The company holds approximately **18% market share** in Pakistan and is actively expanding its consolidated production capacity to **23.2 MTPA**. LUKC successfully fired a new 1.82 MTPA clinker line in Iraq in May 2025 and announced a major expansion in DRC increasing capacity from 1.31 MTPA to 2.91 MTPA. The company maintains a competitive edge through **cost leadership**, achieving the lowest fuel cost per ton among peers, supported by **55% renewable energy integration** in its total energy mix following a 28.8 MW wind power project commissioning.

Recent Performance: LUKC delivered strong **FY25 consolidated earnings of PKR 84.5 billion (EPS: PKR 52.53)**, representing a **17% YoY increase**. Export volumes surged **92.3% YoY in 1HFY25**, though domestic market share declined slightly to 16.4% from 17.1% due to a 14% YoY decline in local demand. The stock currently trades at **PKR 354.85** with a **fair value estimate of PKR 420.23** and analyst consensus target of **PKR 588.50**, suggesting **65% upside potential**. However, technical indicators show **strong sell** signals, with the stock experiencing significant declines over 1-month, 3-month, and 6-month periods.

Financial Health and Valuation: The company exhibits strong fundamentals with a **P/E ratio of 6.32** (forward P/E of 5.33), **PEG ratio of 0.35**, and impressive profitability rating of **8/10**. The low earnings multiple relative to near-term growth prospects (EPS forecast of PKR 66.62 for FY26) presents attractive valuation. Challenges include increased regulatory burden with **100% FED hike** from PKR 100 to PKR 200 per bag, macroeconomic headwinds including projected 8% inflation by Q4FY26, and moderate debt levels.

Fair Value

Upside	18.4%
Fair Value	PKR420.2

Financial Health

7.0/10
Growth Rating
7.7/10
Profitability Rating
6.0/10
Cash Flow Rating

Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Valuation

Reporting Date	2023	2024	2025	2026	2027
Period Ending	30/06	30/06	30/06	30/06	30/06
Capitalization	PKR163.6B	PKR265.7B	PKR520.4B	PKR519.9B	PKR519.9B
P/E Ratio	3.68	5.00	7.23	5.33	11.4
Div. Yield	0	2.04	0.85	1.13	-
Capitalization / Revenue	0.41	0.66	1.19	0.95	3.31
EV / Revenue	0.71	0.86	1.22	0.88	3.06
EV / EBITDA	3.44	3.03	4.69	3.16	2.91
EV / FCF	-80.3	7.30	8.90	-	-
FCF Yield	-15.2	13.7	10.7	-	-
Price / Book	0.76	1.03	1.59	1.35	-

- Forecast

Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

Trading at a low P/E ratio relative to near-term earnings growth

Trading at a low earnings multiple

Prominent player in the Construction Materials industry

Liquid assets exceed short term obligations

Analysts predict the company will be profitable this year

Profitable over the last twelve months

High return over the last decade

Strong return over the last five years

Stock has fared poorly over the last month

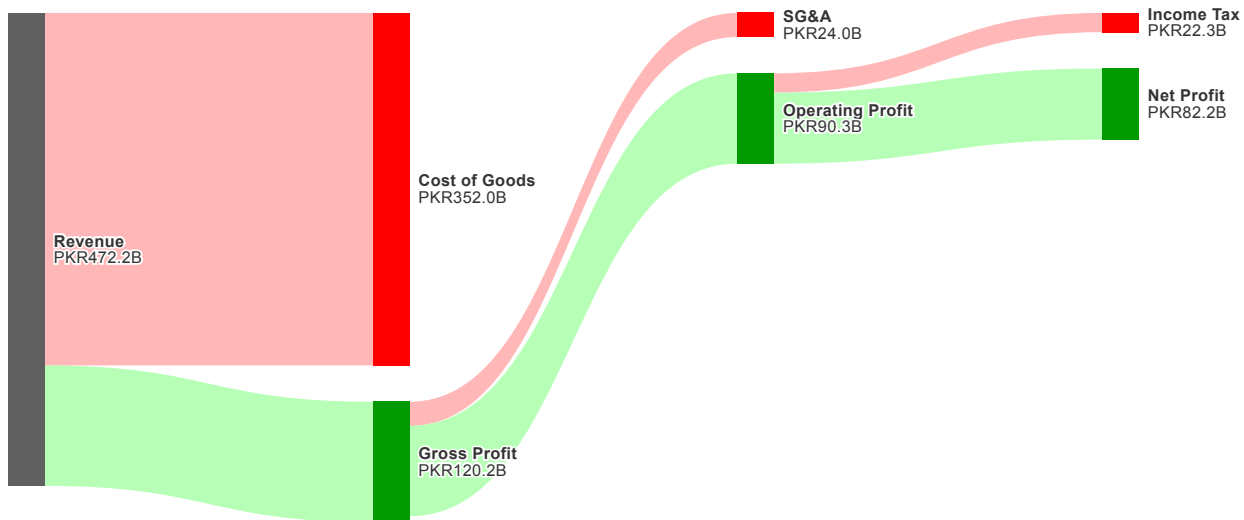
Price has fallen significantly over the last three months

Stock has taken a big hit over the last six months

Operates with a moderate level of debt

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Y LTM Financials:



* Income Statement is based on LTM data from 2024-12-31 to 2025-12-31

Income Statement

Date	2022	2023	2024	2025	LTM
Revenue	325,400	385,125	410,995	449,629	472,236
Operating Income	40,258	74,224	96,403	93,195	90,254
Net Income to Stockholders	29,497	48,758	65,555	76,956	82,204
Shares Outstanding	1,616	1,566	1,465	1,465	1,465
Diluted EPS	18.2	30.6	44.1	52.5	56.1
EBITDA	51,859	90,792	113,879	111,775	109,963

Balance Sheet

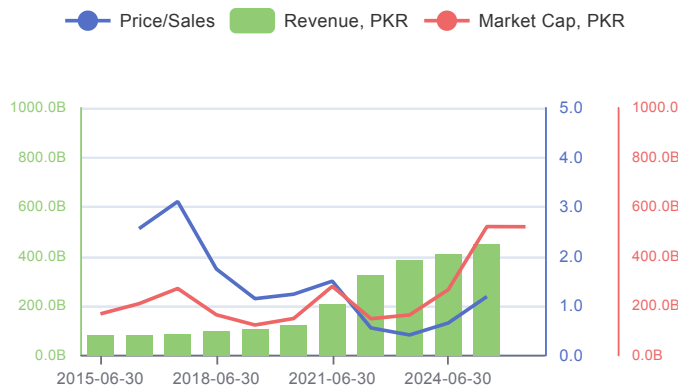
Date	2022	2023	2024	2025	LTM
Total Current Assets	175,725	238,776	274,630	320,554	377,048
Total Assets	503,687	608,359	659,661	729,361	789,828
Total Current Liabilities	149,322	175,474	183,791	177,773	206,682
Total Liabilities	303,928	347,360	349,030	341,320	362,387
Total Equity	199,758	260,999	310,631	388,041	427,441
Total Debt	191,293	212,020	205,810	185,984	201,791

Cash Flow Statement

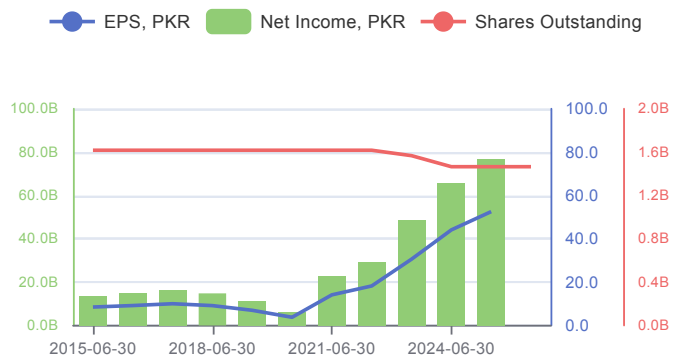
Date	2022	2023	2024	2025	LTM
Cash from Operations	-29,483	57,676	45,207	96,742	61,835
Cash from Investing	-51,994	-593.0	-13,253	-11,664	-852.0
Cash from Financing	71,055	-843.0	-24,319	-31,273	-31,499
Levered Free Cash Flow	-0.1	0.0	0.0	0.1	0.1

*In PKR millions, except number of shares, which are reflected in thousands, and per share amounts.

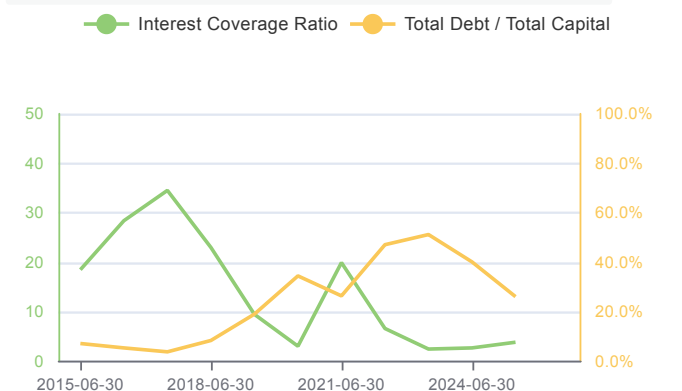
Revenue, Market Cap, Price/sales



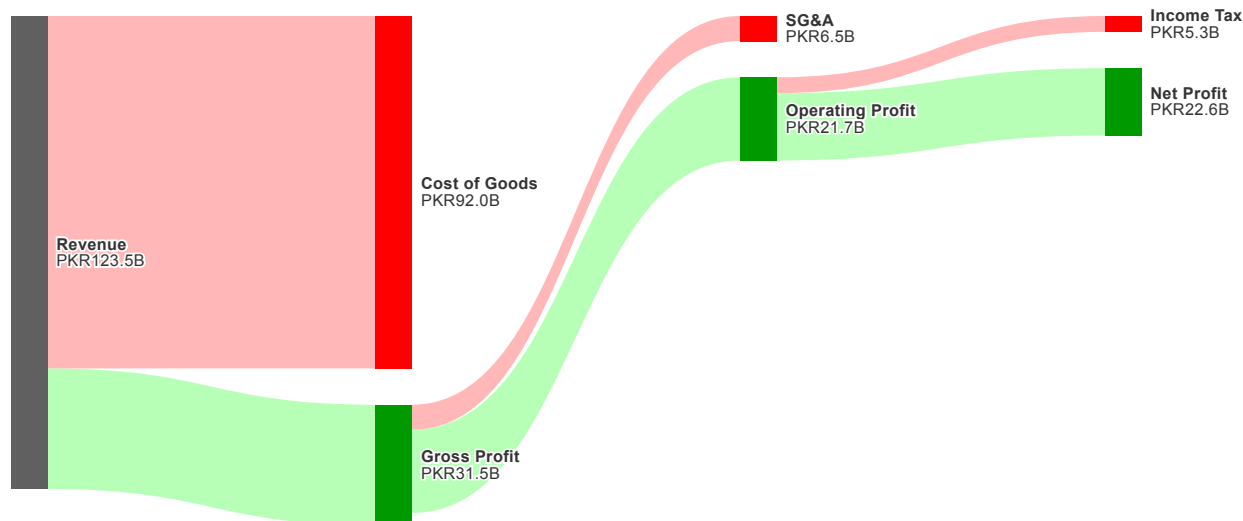
Net Income, EPS, Shares



Leverage and Debt



Q2 Financials



* Income Statement is based on LTM data from 2025-12-31

Income Statement

Date	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Revenue	112,853	108,335	116,815	123,595	123,490
Operating Income	25,376	21,689	22,032	29,356	21,714
Net Income to Stockholders	21,439	17,947	19,642	21,994	22,619
Shares Outstanding	1,465	1,465	1,465	1,465	1,465
Diluted EPS	14.6	12.3	13.4	15.0	15.4
EBITDA	30,084	26,373	26,703	34,461	26,964

Balance Sheet

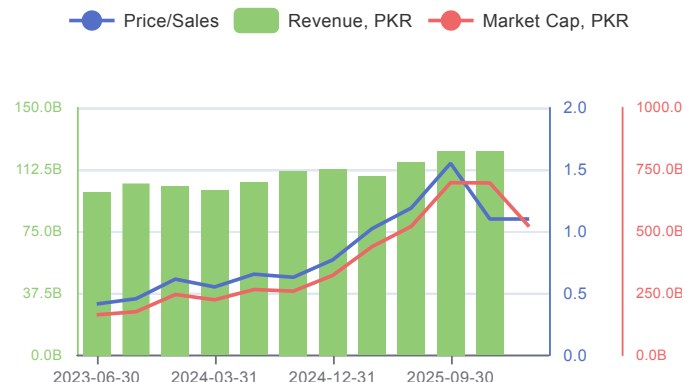
Date	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Total Current Assets	314,797	322,690	320,554	363,814	377,048
Total Assets	716,594	725,701	729,361	774,258	789,828
Total Current Liabilities	201,328	195,571	177,773	212,750	206,682
Total Liabilities	368,601	359,560	341,320	370,496	362,387
Total Equity	347,993	366,140	388,041	403,761	427,441
Total Debt	211,328	197,978	185,984	195,410	201,791

Cash Flow Statement

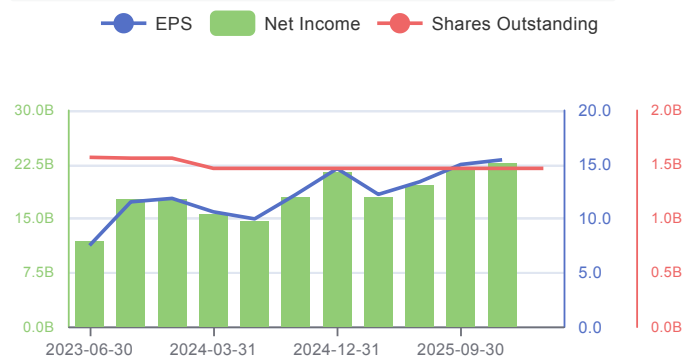
Date	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Cash from Operations	36,024	18,539	19,303	28,098	-4,105
Cash from Investing	-7,863	-40.9	3,398	384.4	-4,594
Cash from Financing	11,590	-26,870	-12,070	9,804	-2,362
Levered Free Cash Flow	0.0	0.0	0.0	0.0	-6,050

*In PKR millions, except number of shares, which are reflected in thousands, and per share amounts.

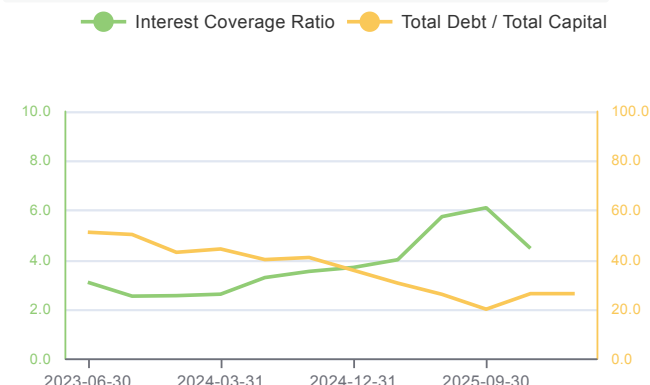
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt



Momentum & Technical Indicators

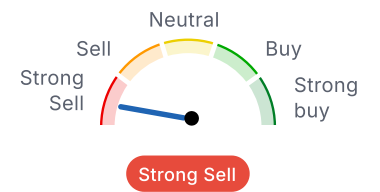
Price Momentum

Metric	LUCK	Percentile	Score
Price % of 52 Week High	67.0%	49.5%	2.5
1 Week Price Total Return	2.3%	82.6%	4.1
2 Week Price Total Return	-6.5%	35.1%	1.8
3 Week Price Total Return	-11.0%	33.8%	1.7
1 Month Price Total Return	-16.0%	24.9%	1.2
3 Month Price Total Return	-27.6%	13.6%	0.7
6 Month Price Total Return	-25.3%	32.0%	1.6
1 Year Price Total Return	19.6%	73.0%	3.7
2 Year Price Total Return	143.6%	92.8%	4.6
3 Year Price Total Return	367.2%	95.7%	4.8
4 Year Price Total Return	221.7%	87.7%	4.4
5 Year Price Total Return	124.5%	68.3%	3.4

Peers

	FCCL	HBCP
Price % of 52 Week High	62.0%	93.3%
1 Week Price Total Return	5.7%	0.6%
2 Week Price Total Return	-5.8%	1.9%
3 Week Price Total Return	-16.7%	-1.6%
1 Month Price Total Return	-22.0%	0.4%
3 Month Price Total Return	-29.9%	0.6%
6 Month Price Total Return	-33.4%	9.5%
1 Year Price Total Return	-12.3%	37.1%
2 Year Price Total Return	151.4%	72.7%
3 Year Price Total Return	256.3%	88.8%
4 Year Price Total Return	159.8%	66.0%
5 Year Price Total Return	102.2%	85.2%

Technical Summary



Moving Averages



Technical Indicators



The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.

The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics

Metric	LUCK	FCCL	HBCP
Market Cap	PKR519.9B	PKR95.6B	\$473.9M
Price % of 52 Week High	67.0%	62.0%	94.2%
Div Yield	1.13%	3.21%	2.05%
Beta	0.34	0.23	0.57
1 Year Return	19.6%	-12.3%	34.4%

Growth Metrics

Metric	LUCK	FCCL	HBCP
Revenue Growth	10.1%	1.08%	12.3%
Revenue CAGR (5y)	29.4%	38.9%	9.65%
Net Income Growth	18.1%	30.9%	26.5%
Net Income CAGR (5y)	65.9%		13.2%
Revenue Forecast CAGR (5y)	31.8%	8.45%	0.65%
Net Income Forecast CAGR (5y)	45.6%	15.1%	1.91%

Financial Statement Metrics

Metric	LUCK	FCCL	HBCP
Revenue	PKR472.2B	PKR88.5B	\$148.7M
Gross Profit	PKR120.2B	PKR30.5B	\$148.7M
Operating Income	PKR90.3B	PKR24.7B	\$62.1M
Gross Profit Margin	25.5	34.5	-
Net Income to Common	PKR82.2B	PKR13.4B	\$46.1M
ROE	23.7	16.0	11.1
ROI	12.1	12.0	8.68
ROA	11.8	8.18	1.33
Total Assets	PKR789.8B	PKR170.5B	\$3.5B
Total Debt	PKR201.8B	PKR41.3B	\$67.6M

Valuation Metrics

Metric	LUCK	FCCL	HBCP
P/E Ratio (LTM)	6.32	7.15	10.3
PEG Ratio	0.35	0.23	0.35
Price / Book	1.35	1.08	1.09
Price / LTM Sales	1.10	1.08	3.19
Analyst Upside	67.7%	79.6%	5.84%
Fair Value Upside	18.4%	1,755.0%	-655.0%

Latest Insights

WarrenAI

Bull Case

- Strategic capacity expansions across three countries position LUKC for substantial growth, with new 1.82 MTPA Iraqi line operational and 1.6 MTPA DRC expansion underway, increasing total capacity to 23.2 MTPA and enabling market share gains in high-growth international markets.
- Exceptional cost leadership maintained through lowest fuel cost per ton among peers, driven by industry-leading 55% renewable energy integration (103.1 MW capacity) including recent 28.8 MW wind project, providing sustainable competitive advantage and margin protection against fuel price volatility.
- Attractive valuation metrics with P/E ratio of 6.32, forward P/E of 5.33, and PEG ratio of 0.35, trading significantly below fair value of PKR 420.23 and analyst target of PKR 588.50, offering 65% upside potential while maintaining strong profitability rating of 8/10.
- Export momentum with 92.3% YoY surge in 1HFY25 and 86% YoY increase in Q2FY25, leveraging unique Karachi Port terminal advantage, diversifies revenue streams and reduces dependence on domestic market while Pakistan construction sector projected to grow 4.6% annually through 2029.

Bear Case

- Significant near-term price deterioration with strong sell technical signals, stock declining substantially over 1-month, 3-month, and 6-month periods, currently trading 33% below 52-week high of PKR 529.5, indicating sustained negative momentum and investor sentiment concerns.
- Regulatory headwinds from 100% FED increase to PKR 200 per bag and shift of export income from Final Tax to Normal Tax Regime substantially compress margins and reduce competitiveness, while new PBS-linked sales tax collection mechanism introduces pricing rigidity and compliance burdens.
- Domestic market share erosion to 16.4% from 17.1% amid 14% YoY decline in local demand during 1HFY25, coupled with projected 8% inflation by Q4FY26 exceeding central bank targets and moderate Pakistan GDP growth of 3.6% limiting construction sector recovery potential.
- Macroeconomic vulnerabilities including moderate debt levels, exposure to imported coal price volatility for southern plants, potential rupee devaluation impacts, and global economic deceleration from 3.3% (2024) to 3.1% (2026) threatening export demand sustainability.

Additional Insights

- Diversified business portfolio beyond cement, including Kia Lucky Motors (40% volumetric sales growth in FY25), chemicals, agricultural sciences, and mobile phone assembly, provides revenue stream resilience and hedges against cement sector cyclicality while contributing to strong consolidated earnings growth.
- Management forecasts 5% volumetric growth in FY26 local cement dispatches as flood impacts subside, supported by Pakistan infrastructure investments including Main Line 1 rail alignment and vertical building projects driving 4.6% annual construction growth through 2029.
- Strong financial health indicators with profitability rating of 8/10, growth rating of 7/10, liquid assets exceeding short-term obligations, high returns over last decade and five-year periods, and positive analyst predictions for continued profitability despite recent stock price weakness.
- EPS forecast volatility with FY27 estimate of PKR 31.18 (significantly below FY26's PKR 66.62) followed by rebound to PKR 80.49 in FY28, creating forward P/E fluctuation from 5.33 to 11.38 then 4.41, suggesting earnings pattern uncertainty requiring monitoring.

SWOT Analysis

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Strengths

- Market leadership position with approximately 18% Pakistani market share and expanding 23.2 MTPA consolidated capacity across Pakistan, Iraq, and DRC, supported by successful international expansions including operational 1.82 MTPA Iraqi line and planned 1.6 MTPA DRC addition.
- Industry-leading cost efficiency through lowest fuel cost per ton among peers, achieved via 55% renewable energy mix (103.1 MW capacity including wind, solar, WHRS) with Battery Energy Storage System managing fluctuations and reducing thermal power dependence.
- Strong financial performance with FY25 consolidated earnings of PKR 84.5 billion (EPS PKR 52.53) representing 17% YoY growth, profitability rating of 8/10, stable gross margins, and liquid assets exceeding short-term obligations demonstrating solid balance sheet management.
- Unique export infrastructure including only cement manufacturer-owned storage and loading terminal at Karachi Port, facilitating 92.3% YoY export surge in 1H FY25 with diversified destinations across Africa, Sri Lanka, and Bangladesh reducing domestic market dependence.

Weaknesses

- Recent significant price deterioration with strong sell technical signals, stock down substantially over 1, 3, and 6-month periods, trading 33% below 52-week high at PKR 354.85 versus PKR 529.5, reflecting sustained negative momentum and market confidence concerns.
- Domestic market share erosion to 16.4% from 17.1% in 1H FY25 due to 14% YoY local demand decline, demonstrating vulnerability to Pakistani construction sector cyclicalities and economic headwinds despite strong export performance offsetting some weakness.
- Regulatory burden intensification from 100% FED increase to PKR 200 per bag, export income taxation regime shift from Final to Normal Tax, and new PBS-linked sales tax collection mechanism creating margin compression and competitive disadvantages.
- Moderate debt levels flagged as warning indicator, combined with southern plants' continued reliance on imported coal exposing company to global commodity price volatility and currency depreciation risks despite substantial renewable energy investments.

Opportunities

- Pakistani infrastructure development acceleration including Main Line 1 rail alignment and vertical building projects supporting projected 4.6% average annual construction growth from 2026-2029, coupled with post-flood reconstruction efforts driving cement demand recovery and potential market share recapture.
- International market expansion potential through commissioned Iraqi capacity enabling increased local supply and surplus clinker sales, plus DRC capacity doubling to 2.91 MTPA addressing construction-driven demand in high-growth African markets and diversifying geographical revenue exposure.
- Further renewable energy capacity expansion beyond current 55% mix offering additional operational cost reductions, enhanced hedging against fuel price volatility, improved sustainability positioning, and competitive advantage strengthening through lower fuel cost per ton maintenance.
- Revenue forecast growth to PKR 548.43 billion suggesting upside potential, combined with attractive valuation at P/E 6.32 and PEG 0.35 trading below fair value PKR 420.23 and analyst target PKR 588.50, indicating significant re-rating opportunity as fundamentals recognized.

Threats

- Macroeconomic headwinds including projected 8% inflation by Q4 FY26 exceeding central bank targets, moderate Pakistan GDP growth of 3.6% in FY26, potential oil price spikes from geopolitical tensions (Iran unrest), and high 13% policy rates dampening construction activity and increasing borrowing costs.
- Global economic deceleration from 3.3% growth in 2024 to 3.1% in 2026 threatening export demand sustainability, while Pakistan construction sector faced projected 2.8% real terms contraction in 2025 due to high inflation, debt burden, and current account deficit widening.
- Intense domestic cement industry price competition pressuring margins during subdued demand periods, combined with regulatory compliance costs from new tax collection mechanisms and potential for additional taxation or stricter environmental regulations increasing capital expenditure requirements.
- Currency and commodity risks from potential rupee devaluation increasing imported raw material and machinery costs, imported coal price volatility impacting southern plants, and challenges including limited financing access, skilled labor shortages, and raw material price fluctuations affecting construction sector recovery.

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